

LONGHORN KENYA LIMITED
UNAUDITED CONSOLIDATED STATEMENT OF FINANCIAL POSITION
AS AT 31ST DECEMBER 2012

	Dec -12 Kshs '000	Jun-12 Kshs '000
ASSETS		
Non current assets		
Property and equipment	173,652	174,027
Intangible Assets	13,973	12,313
Deferred taxes asset	13,545	31,291
	201,170	217,631
Current assets		
Inventories	85,669	275,038
Trade and other receivables	272,043	156,662
Tax Recoverable	1,014	-
Bank and Cash Balances	52,592	12,344
	411,318	444,044
Total Assets	612,488	661,675
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EQUITY AND LIABILITIES		
Capital and reserves		
Share Capital	58,500	58,500
Share Premium	5,039	5,039
Revenue reserves(deficit)	225,220	201,046
	288,759	264,585
Current liabilities		
Trade and other payables	306,790	396,122
Tax Payable	16,939	968
	323,729	397,090
Total equity and liabilities	612,488	661,675
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These unaudited Financial Statements were approved by the Board of Directors on 21st February 2013 and were signed on its behalf by:

Francis T Nyamamo (Chairman)

Musyoki Muli (Managing Director)

LONGHORN KENYA LTD
UNAUDITED CONSOLIDATED STATEMENT OF COMPREHENSIVE INCOME
HALF YEAR ENDING 31ST DECEMBER 2012

	Dec -12 Kshs '000	Jun-12 Kshs '000
Sales	525,264	775,943
Cost of sales:	(237,619)	(358,722)
Gross profit	287,645	417,221
Other Operating Income	2,708	9,276
Selling and distribution expenses	(53,735)	(87,499)
Administrative expenses	(78,302)	(274,004)
Net Interest Income	-	471
Provisions for Inventories & Receivables	(134,142)	(79,990)
Net Foreign Exchange Loss	-	(11,424)
Operating profit\ (Loss)	24,174	(25,949)
Taxation Credit \ (Charge)	-	3,484
Profit \ (Loss) before taxation	24,174	(22,465)
Taxation (charge) \ Credit	(7,252)	-
Net profit\ (Loss)	16,922	(22,465)

INDUSTRY OVERVIEW

The economy improved towards the end of the period under review due to the onset of the rainy season and a promising outlook in food security. Heightened political activity, labour unrest in key public sectors and high cost of manufacturing inputs were the major challenges businesses had to overcome in the period under review.

PERFORMANCE

Consolidated sales turnover for the six month period ending December 2012 stood at Kshs 525,264m, reflecting a growth of 25.19% compared to the same period in the previous year, in which we posted sales revenue of Kshs 419,589m. This is the highest ever for the company's half year performance. The positive returns are due to a deliberate strategy to grow sales in the open market, reducing overreliance on government funding which has been unpredictable and inadequate.

Provisions for inventory increased as a result of overflow of stocks from the previous year, which was not sold due to delayed disbursement of free education funds. This will be significantly reduced by the end of the year with the anticipated sales.

DIVIDEND

Directors are optimistic that the company will maintain the growth momentum to year end. Directors do not, however, recommend payment of a dividend in respect of the half year ended 31 December owing to an ambitious production programme to spur sustainable growth.

FUTURE OUTLOOK

The Kenyan economy is expected to grow from 4.2% for the period under review to 5.25% in 2013 supported by macroeconomic stability. Inflation is anticipated to remain low while interest rates are expected to decline. However, continued volatility in international oil prices, balance of payments pressure, spillover effects of the global economic slowdown and the cost of settling down the new government after the March elections are likely impact on business in the short to medium term.

Growth at Longhorn will be propelled by improved sales in the export market, product expansion and diversification of offerings to existing and emerging customers. Directors are therefore optimistic that the turnaround trend will be sustained to the end of the year in June 2013.